

Calendar Line 4

Case Name: *Garcia v. SourceOne Building Maintenance, Inc.*
Case No.: 23CV423652

This is a putative class and representative action arising from alleged wage and hour violations. The parties have reached a settlement, and the Court has granted Plaintiff's motion for preliminary approval of the settlement. Now before the Court is Plaintiff's unopposed motion for final approval of the settlement. As discussed below, the Court GRANTS the motion and sets a compliance hearing for March 3, 2027 at 2:30 p.m. in Department 11.

I. Legal Standard

"In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Id.* at p. 245.) The most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" the Private Attorneys General Act ("PAGA"). The trial court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Terms and Administration of Settlement

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

[All] individuals who are or were employed by Defendant as non-exempt or hourly-paid employees, who worked at least one shift in California during the Class Period [October 3, 2019 to April 29, 2025].

(Declaration of Hengameh S. Safaei in support of Motion for Preliminary Approval, Ex. 1 (“Agreement”), ¶¶ 1.6, 1.12.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as: “[all] individuals who are or were employed by Defendant as non-exempt or hourly-paid employees, who worked at least one shift in California from September 25, 2022, through the date of Preliminary Approval of the Settlement.” (*Id.* at ¶ 1.5.)

Defendant will pay a gross settlement amount of \$419,500, and this amount includes: attorney fees of up to one-third of the gross settlement amount (\$139,833.33); litigation costs not to exceed \$16,500; a PAGA allocation of \$40,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of \$5,000 to Plaintiff; and settlement administration costs up to \$9,000. (Motion, p. 9; Agreement, ¶¶ 1.23, 3.1-3.2)

The net settlement amount will be distributed to participating class members on a pro-rata basis. (Agreement, ¶ 3.2.4.) The Agreement provides that ILYM Group, Inc. (“ILYM”) will serve as settlement administrator. (*Id.* at ¶ 1.2.) The Court approves and appoints ILYM as settlement administrator. The Agreement provides that any funds from uncashed settlement checks will be transmitted to Legal Aid at Work, Worker’s Rights Clinic. (*Id.* at ¶ 4.3.3) The Court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims that were alleged, or reasonably could have been alleged, based on the facts stated in the operative First Amended Complaint and PAGA Notice....” (Agreement, ¶ 6.2.) Aggrieved Employees will be deemed to release Defendant and related entities and persons “from all claims for PAGA penalties that were alleged or reasonably could have been alleged, based on the facts stated in the operative First Amended

Complaint... .” (*Id.* at ¶ 6.3.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Administration of Settlement

In its order granting Plaintiff’s motion for preliminary approval, the Court approved ILYM as settlement administrator. On February 11, 2026, Defendant delivered class data to ILYM, with 522 Class Members, 318 of whom are Aggrieved Employees. (Declaration of Garvin Brown of ILYM (“Brown Decl.”) ¶ 5.) ILYM determined that the Agreement’s escalator clause was triggered such that the gross settlement amount increased by \$26,819.07, from the original amount of \$419,500 to \$446,319.09. (*Id.* at ¶ 7.) On March 3, 2026, ILYM mailed Class Notices to the 522 individuals on the Class List. (*Id.* at ¶ 8 and Ex. A.)

The deadline to request an exclusion, submit a written objection, or submit a dispute was April 17, 2026. (Brown Decl., ¶¶ 12–14.) As of the date of Mr. Brown’s declaration, April 29, 2026, ILYM had received zero requests for exclusion, zero objections, and zero workweek disputes. (*Ibid.*) ILYM estimates the average individual payment will be approximately \$435.43. (*Id.* at ¶ 18.) The notice process has now been completed.

At preliminary approval, the Court found the settlement to be fair and reasonable. Given that there are no objections, it finds no reason to deviate from that finding now. Accordingly, the Court finds that the settlement is fair and reasonable for purposes of final approval.

III. Service Award, Attorney Fees and Costs

Plaintiff seeks a service award of \$5,000. Plaintiff has provided a declaration detailing her participation in this litigation as well as the risks she undertook by being named as a plaintiff. She explains that she has spent approximately 35 hours on activities such as gathering documents and communicating with counsel. Having found that a service award is justified and the amount requested is reasonable, the Court approves the service award in the amount requested.

Plaintiff's counsel seeks an attorney fee award of \$139,833.33 (one third of the gross settlement amount). (Memorandum, pp. 15:1–22:4; Declaration of Hengameh S. Safaei in Support of Motion for Final Approval (“Safaei Decl.”) ¶¶ 28–45.) Plaintiff's counsel represents that the lodestar for this action is \$164,000, based on 205 hours billed at \$800 per hour. (Kim Decl., ¶ 37.) This results in a negative multiplier. The benefits achieved by the settlement justify an award of attorney fees to class counsel. The Court approves an attorney fee award in the requested amount of \$139,833.33

Plaintiff's counsel requests reimbursement of litigation costs in the amount of \$14,376.07 and they provide an itemized list in support. (Memorandum, p. 22:5–10; Safaei Decl., ¶¶ 43–45 and Ex. 5.) The Court approves reimbursement of litigation costs in the requested amount. Settlement administration costs are likewise approved in the requested amount of \$8,750. (Brown Decl., ¶ 19.)

IV. Conclusion

The Court GRANTS the motion for final approval of the settlement and sets a compliance hearing for March 3, 2027 at 2:30 p.m. in Department 11.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: *Bobadilla v. Loan Factory, Inc.*

Case No.: 24CV432129

This is a class action for misappropriation of likeness brought by plaintiff Derek Daniel Bobadilla against defendant Loan Factory, Inc. (“Loan Factory” or “Defendant”). The complaint asserts causes of action for: (1) violation of Civil Code section 3344 (unauthorized commercial use of name, voice, signature, photograph or likeness); (2) common law misappropriation of name and likeness; (3) violation of Business and Professions Code section 17200 et seq. (unfair competition); and (4) unjust enrichment.

Plaintiff’s motion for class certification is before the Court. Plaintiff moves to certify a class of loan officers whose names and images were used by Loan Factory, Inc. as part of its “Find a Loan Officer” webpage, without their consent. The Court has considered the moving, opposition, and reply papers, the supporting and supplemental declarations, Plaintiff’s request for judicial notice, Defendant’s evidentiary objections, and the arguments of counsel. As discussed below, the Court’s tentative ruling is to GRANT the motion for class certification.

I. Background

Plaintiff sets forth its asserted background facts in support of his motion. (Memorandum, pp. 1:15–6:18.) Loan Factory, Inc. is a licensed California mortgage brokerage. Its website includes a “Find a Loan Officer” feature that displays individual profile pages, each bearing a loan officer’s name, photograph, and Nationwide Multistate Licensing System (NMLS) identification number. Plaintiff alleges that Loan Factory populated these pages with the profiles of at least 7,490 California-licensed loan officers drawn from publicly available licensing records, none of whom was employed by or affiliated with Loan Factory and none of whom consented to the use. Plaintiff contends the purpose and effect of this practice was to inflate the apparent size of Loan Factory’s sales force and to harvest search-engine traffic from consumers looking for particular officers by name, diverting that traffic to Loan Factory.

Plaintiff Bobadilla is a California-licensed mortgage loan officer, and he alleges he discovered his name and photograph on Loan Factory’s website without his consent. Another